

Daily Market Report

Friday, June 12, 2026 - After Market Close | Singapore

SECTION 1 - Market Summary

Index	Closing Price	Day	1 Week	1 Month	1 Year	52W High	52W Low
S&P 500 (SPY)	737.76	+1.70%	-2.55%	-0.06%	+24.47%	759.57	592.71
Nasdaq 100 (QQQ)	717.12	+3.38%	-3.17%	+1.40%	+37.06%	746.16	523.21
VIX	22.22	+11.83%	+38.36%	+23.51%	+21.02%	31.05	13.47

US equities closed broadly higher on Friday June 12, with the Nasdaq 100 (NDX) surging +3.38% as SpaceX's blockbuster IPO — the largest in history — lifted sentiment across the tech complex; semiconductor and AI-infrastructure names led gains while the S&P 500 (SPY) added +1.7%, though elevated VIX at 22.22 and a volatile intra-session swing on Iran headlines remind investors that the risk backdrop remains unsettled heading into a pivotal FOMC week.

SECTION 1B - Early Warning

Signal	Status	What It Means
VIX (fear gauge)	AMBER	22.2 - rising stress
Breadth (sectors up)	GREEN	8/11 sectors green - broad
S&P vs 50-day avg	GREEN	+2.3% vs trend
Consumer confidence	GREY	N/A - set manually in config
10Y Treasury yield	AMBER	4.55%

Overall: CAUTION

SECTION 2 - Stock Spotlights

Micron Technology (MU)

Metric	Value
Closing Price	995.87
Day Change	+11.66%
52W High	1079.57
52W Low	98.18
P/E Ratio	46.3
Dividend Yield	6.0%
Analyst View	strong_buy
Analyst Target	\$1,123.33 avg of Wolfe Research, Goldman Sachs, Wells Fargo (Benzinga, June 2026); broad consensus \$828.73 (S&P Global via StockAnalysis, Jun 11, 2026)
Next Earnings	Jun 24, 2026
Beta (1Y)	2.92

HOLD - At \$995.87, MU trades well above the S&P Global / StockAnalysis consensus target of \$828.73 and even above the TipRanks average of \$975, placing it in stretched territory on a pure price-vs-target basis; however the most-recent analyst cluster from Wolfe Research, Goldman Sachs and Wells Fargo (Jun 8-11, 2026) averages \$1,123.33, implying ~13% upside, which blurs the picture. Momentum is exceptional — up +11.66% on the day, +914% over 12 months — driven by AI-led DRAM/NAND demand and a guided Q3 FY26 revenue of ~\$33.5B at ~81% gross margin; the company also beat its Q2 FY26 EPS of \$12.20 vs \$9.19 consensus by a wide margin. The key risk is that MU's high beta of 2.92 amplifies drawdown potential if the FOMC turns hawkish on June 16-17 or if the confirmed Q3 earnings report on June 24 disappoint vs the lofty \$19.19 EPS forecast.

SECTION 3 - Watchlist

Ticker	Company	Price	Day	1 Week	1 Month	1 Year	52W Low	52W High	Beta
SPCX	SpaceX	22.37	+0.22%	-0.07%	+1.34%	-12.94%	21.71	26.59	0.01
NVDA	Nvidia	204.87	+2.22%	-6.31%	-7.21%	+49.13%	137.38	235.74	1.83
AMD	AMD	488.45	+7.97%	-6.64%	+8.96%	+326.11%	114.63	542.52	2.84
AVGO	Broadcom	385.57	+3.62%	-7.96%	-8.04%	+55.03%	244.28	481.57	2.1
GOOGL	Alphabet	357.77	+0.39%	-3.87%	-7.64%	+111.66%	165.19	402.62	1.29
IBM	IBM	274.85	+0.91%	-8.92%	+25.38%	+4.15%	214.64	329.23	1.09
MSFT	Microsoft	390.34	-1.77%	-8.81%	-4.27%	-15.51%	356.77	542.07	0.84
INTC	Intel	116.96	+9.27%	+4.63%	-3.03%	+492.50%	19.31	129.44	2.52
C	Citigroup	138.07	+3.52%	+2.16%	+9.20%	+82.15%	75.8	138.07	1.42
QRVO	Qorvo	97.66	+2.80%	-6.07%	+8.84%	+27.88%	76.02	108.23	1.21
ANET	Arista Networks	156.4	+3.06%	-5.79%	+9.72%	+74.20%	86.25	177.73	2.07
WQTM	Quantum ETF (WQTM)	36.63	+4.27%	-6.94%	+4.93%	+20.93%	23.32	41.31	2.39
GFS	GlobalFoundries	80.74	+7.91%	-4.68%	+11.91%	+124.78%	31.62	89.96	2.03

SECTION 4 - Why Markets Moved

Friday June 12 was defined by SpaceX's Nasdaq debut — the largest IPO in history, pricing at \$135, opening at \$150 and closing up ~19% at \$161.11. The event flooded the market with fresh equity supply (a \$75B raise) but simultaneously boosted risk appetite across growth and tech, helping the Nasdaq 100 surge +3.38% and the S&P 500 close up +1.7%. Intra-session volatility was pronounced: markets briefly sold off after President Trump issued a sharp warning to Iran, before recovering on reports that a US-Iran peace deal draft — including Strait of Hormuz reopening within 30 days — could be signed in Switzerland as soon as Sunday June 14.

Three forces collided: (1) The SpaceX IPO triggered institutional cash-raising via selling of recent tech winners — particularly chip stocks — to fund both IPO allocations and post-listing index-weight positions, explaining why NVDA and AVGO were volatile despite eventually closing higher; (2) Iran peace-deal optimism drove a potential near-term collapse in Brent crude from above \$100/bbl, which is bullish for inflation and therefore reduces pressure on the Fed ahead of the June 16-17 FOMC meeting under new chair Kevin Warsh; (3) The Nasdaq-100's quarterly rebalance announcement (effective June 22) added five new names — CoreWeave (CRWV), Astera Labs (ALAB), Nebius (NBIS), Rocket Lab (RKLB) and Teradyne (TER) — generating additional forced-buying flows and causing those stocks to surge after-hours.

For investors, the session's message is nuanced. The breadth reading (8 of 11 S&P sectors green) and the S&P trading +2.3% above its 50-day average are constructive, but the VIX at 22.22 — up +38% over the past week — signals that options markets are still pricing meaningful near-term risk. The Iran deal, if signed, could be a significant catalyst: Strait reopening would ease energy inflation, boost global growth expectations and give the Fed more flexibility to hold or cut rates. Conversely, a failure to sign or a hawkish surprise from Warsh at the FOMC could reprice the 10-year yield above 4.55% and pressure tech valuations. Retail investors in Singapore should be cautious about chasing Friday's spike — wait for clarity on Iran and the Fed before adding risk.

SECTION 5 - Sector Rotation & Macro

Winners

- Technology: **+3.73%**
- Materials: **+3.27%**
- Industrials: **+3.24%**

Losers

- Consumer Staples: **-0.26%**
- Energy: **-1.94%**

Macro

- FOMC on June 16-17 is the week's dominant risk event: Fed funds currently at 3.50%-3.75% under new chair Kevin Warsh, with CME FedWatch pricing ~70% odds of at least one 0.25% hike by December 2026; a hawkish tone or surprise rate hike could sharply reprice the 10-year Treasury (currently 4.55%) and compress tech multiples — watch Warsh's press conference language on inflation trajectory carefully.
- Iran geopolitics: Iranian state media confirmed a draft US-Iran deal includes lifting of US oil sanctions and Strait of Hormuz reopening within 30 days; a successful signing this weekend would be significantly bullish — Brent crude was

above \$100/bbl and a Hormuz reopening could release meaningful supply, lowering global inflation expectations and giving central banks room to pause rate hikes. Failure to sign keeps energy inflation elevated and maintains pressure on equities.

- Nasdaq-100 quarterly rebalance effective June 22 adds CoreWeave (CRWV), Astera Labs (ALAB), Nebius (NBIS), Rocket Lab (RKLB), and Teradyne (TER), while removing Charter Comms (CHTR), Cognizant (CTSH), Insmmed (INSM), Verisk (VRSK) and Zscaler (ZS); passive index funds must buy the additions and sell the removals in size before the open on June 22, creating mechanically predictable price flows — the newly added names already rallied strongly in after-hours trading on June 11.

SECTION 6 - Earnings Calendar

Watchlist stocks verified. Broader NDX dates sourced via web search - confirm before trading.

Company	Ticker	Next Earnings	
Micron Technology	MU	Jun 24, 2026	WATCHLIST
Oracle	ORCL	Jun 10, 2026	
Adobe	ADBE	Jun 11, 2026	
CoreWeave	CRWV	~Jun 23, 2026	
Daktronics	DAKT	Jun 24, 2026	
Accenture	ACN	~Jun 19, 2026	
FedEx	FDX	~Jun 24, 2026	
CarMax	KMX	~Jun 17, 2026	
Lennar	LEN	~Jun 13, 2026	
Jabil	JBL	~Jun 18, 2026	
Winnebago	WGO	~Jun 18, 2026	
Rocket Lab (NDX addition)	RKLB	NDX entry Jun 22, 2026	

SECTION 6B - Opportunity Radar

- **AI Memory Super-Cycle: DRAM/HBM Demand Acceleration** - MU guided fiscal Q3 revenue of \$33.5B at ~81% gross margin — a level virtually unimaginable 18 months ago — driven by AI training and inference workloads consuming high-bandwidth memory at record rates; the entire memory/storage stack is repricing with MU's Q2 FY26 revenue up 196% year-on-year. With Q3 earnings confirmed for June 24, a beat-and-raise could reprice the entire sector. Data point: MU's EPS forecast for Q3 is \$19.19 vs \$12.20 reported last quarter — a 57% sequential jump. (e.g. MU)
- **NDX Rebalance Alpha: Forced Buying of New Index Entrants** - Nasdaq announced on June 11 that five companies will be added to the NDX effective June 22 — passive ETFs tracking the Nasdaq-100 (QQQ and its derivatives manage ~\$300B+ in AUM) must purchase these names at scale before the open. Historical precedent shows index additions generate significant price appreciation in the 5-10 trading days ahead of the effective date. Rocket Lab surged +4.5% on June 12 alone on this news, with CoreWeave, Nebius and Astera Labs also rallying. Data point: NDX rebalance effective Jun 22, 2026 — five forced-buy additions. (e.g. RKL B)
- **Iran Peace Deal Dividend: Energy & Rate Relief Trade** - If the US-Iran accord is signed this weekend — lifting oil sanctions and reopening the Strait of Hormuz within 30 days — Brent crude could retrace sharply from above \$100/bbl, lowering energy-driven inflation; this scenario reduces Fed rate-hike probability for December 2026 (currently at ~70% per CME FedWatch) and could trigger a significant relief rally in rate-sensitive growth and tech stocks. Banks (especially those with floating-rate books) and domestic industrials stand to benefit from reduced input-cost pressure. Data point: CME FedWatch 70% odds of Dec 2026 hike — a deal could cut that probability materially. (e.g. C)

Friday's broad rally — with the NDX up +3.38% and 8 of 11 S&P sectors positive — is constructive, but the VIX at 22.22 (up +38% week-on-week) and the 10-year yield at 4.55% (both AMBER signals) argue against aggressively chasing the move. The SpaceX IPO uplift is largely a one-time sentiment event, and the critical FOMC meeting on June 16-17 under new Fed chair Kevin Warsh creates binary risk: a hawkish outcome or surprise hike would reprice risk assets sharply. The prudent stance is to hold existing core positions, take partial profits in the highest-beta names that have run far above consensus targets (MU at \$995 vs \$828 consensus, MSFT with a -15% 1-year return suggesting fundamental headwinds), and deploy fresh capital only in tranches after the FOMC outcome is known. A potential Iran deal signing this weekend is a genuine upside catalyst, but the geopolitical environment remains fluid enough to warrant maintaining 10-15% cash as dry powder.

SECTION 7 - Stocks to Watch

AMD | Price: \$488.45 | **BUY** | Horizon: 5-YEAR

AMD's extraordinary 1-year return of +326% reflects its structural share gains in data-centre CPUs and GPUs against Intel, but the stock still sits 10% below its 52-week high of \$542.52 with a beta of 2.84 providing leverage to the ongoing AI infrastructure build-out; the June 2026 upgrade wave across AI infrastructure names, combined with AMD's growing

MI300X/MI350 competitive positioning vs Nvidia, makes this a high-conviction multi-year compounding story. Accumulate on any FOMC-driven pullback toward the \$440-460 range, sizing with awareness that beta 2.84 amplifies both upside and downside moves.

ANET | Price: \$156.4 | **HOLD** | Horizon: 1-YEAR

Arista Networks' 1-year gain of +74.2% and strong month-on-month performance (+9.72%) reflect robust hyperscaler demand for AI networking — but at \$156.40, the stock trades 12% below its 52-week high of \$177.73, suggesting some digestion is still needed; hold current positions and reassess on the next earnings print, targeting a re-entry closer to \$140 if the broader tech sector corrects post-FOMC.

MSFT | Price: \$390.34 | **SELL** | Horizon: EXIT NOW

Microsoft is the only major tech holding with a negative 1-year return (-15.51%), it sits near its 52-week low of \$356.77 (current \$390.34 vs \$542.07 high — a 28% drawdown), and its beta of 0.84 means the stock underperforms in risk-on environments while still falling in risk-off — the worst of both worlds; the massive AI capex cycle (top tech firms spent >\$500B on AI infrastructure with only incremental high-margin software revenue gains) continues to weigh on free cash flow conversion, and the CFO change at peer Adobe signals broader enterprise software leadership instability. Exit the position and redeploy proceeds into higher-conviction AI infrastructure plays.

GFS | Price: \$80.74 | **BUY** | Horizon: 5-YEAR

GlobalFoundries surged +7.91% on June 12 and is up +124.78% over 12 months, yet it still trades 10% below its 52-week high of \$89.96 at \$80.74 — reflecting ongoing CHIPS Act tailwinds and the strategic importance of non-Chinese advanced semiconductor manufacturing capacity for US defence and automotive supply chains; with beta of 2.03 and a 1-month gain of +11.91%, the technical and fundamental momentum is in sync. Buy in tranches, as high beta warrants staggered entry — an ideal initial allocation of 2% portfolio weight with a target to build to 4% over 6-12 months.

C | Price: \$138.07 | **BUY** | Horizon: 1-YEAR

Citigroup closed at its 52-week high of \$138.07 on June 12 — a powerful technical signal — with a 1-year return of +82.15% and a more modest beta of 1.42 making it one of the more risk-calibrated high-momentum names in the watchlist; an Iran peace deal and Strait of Hormuz reopening would be unambiguously positive for global trade finance (Citi's core business), and the bank continues to benefit from the steepening yield curve and returning M&A activity. The 1-month gain of +9.2% and the fresh 52-week high breakout argue for buying any dip toward the \$130-133 support zone.

SECTION 8 - Market Trends

Friday's session revealed a market that is capable of powerful risk-on rallies but remains structurally fragile beneath the surface — the SpaceX IPO generated genuine excitement and lifted sentiment broadly, with the Nasdaq 100 (NDX) posting its best single-session gain in weeks at +3.38%, yet the VIX simultaneously spiked +11.83% on the day and +38.36% week-on-week, indicating that options traders are aggressively hedging the upcoming FOMC meeting rather than simply celebrating. The most active S&P 500 names — NVDA, MU, PLTR, DELL, INTC, NOW — tell a story of institutional repositioning: AI infrastructure and semiconductor stocks saw enormous volume as funds simultaneously participated in the SpaceX IPO and rebalanced for the June 22 NDX rebalance, creating a cross-current of forced selling and opportunistic buying that produced the high intra-session volatility. Near-term market direction will likely be decided by three sequential catalysts: the Iran deal (weekend), the FOMC decision (June 16-17), and Micron's earnings (June 24) — making the next 10 trading days one of the most event-dense periods of 2026.

Upside Risks

- Iran peace deal signed this weekend: Iranian state media confirmed a draft includes Strait of Hormuz reopening within 30 days — if executed, Brent crude (currently above \$100/bbl) could drop \$10-15/bbl, reducing energy-driven inflation and cutting the CME FedWatch December 2026 rate-hike probability from ~70%, which would be a powerful re-rating catalyst for long-duration tech assets.
- Micron Q3 blowout on June 24 re-rates the entire AI memory sector: MU guided Q3 FY26 revenue at \$33.5B ±\$750M with ~81% gross margin; a beat above \$34B+ and a Q4 raise above \$35B consensus would validate the AI memory super-cycle thesis, likely triggering upgrades across NVDA, AMD, GFS and the broader semiconductor complex — MU's prior Q2 beat was \$12.20 vs \$9.19 consensus (+33% surprise).
- NDX quarterly rebalance forced buying drives new-addition rally: CoreWeave (CRWV), Astera Labs (ALAB), Nebius (NBIS), Rocket Lab (RKLB) and Teradyne (TER) must be purchased by all NDX-tracking passive funds before June 22 open — QQQ alone has ~\$300B AUM, and a 5-stock forced-buy event in relatively small-float names typically generates 5-15% price appreciation in the pre-rebalance window, providing a tradeable upside catalyst for the week ahead.

Downside Risks

- FOMC hawkish surprise under new chair Warsh: The Fed funds rate is at 3.50%-3.75% with the 10-year Treasury at 4.55% (AMBER); if Warsh signals a willingness to hike given the higher-than-expected inflation print and Brent crude above \$100/bbl — or if he echoes the 1999-2000 analogy of tightening into a tech bubble peak — NDX valuations, which are 37% above their pre-AI CAPE baseline, could face an abrupt multiple compression.
- SpaceX IPO capital rotation depresses existing tech leaders: The \$75B IPO is being absorbed partly by institutional funds selling recent NDX winners to fund new positions — NVDA was volatile on the session despite only closing up +2.22%, suggesting ongoing rotation pressure; if SPCX continues to attract capital post-IPO at the expense of established AI names, stocks like AVGO (-7.96% for the week) and GOOGL (-7.64% for the month) could see further

outflows, particularly given that market leadership has narrowed to approximately 1 in 3 stocks outperforming over the past 3 months — a 30-year low breadth reading.

- Iran deal failure + sustained energy inflation re-escalation: If this weekend's Switzerland signing does not materialise, Brent crude remains above \$100/bbl and the Strait of Hormuz stays partially restricted, perpetuating the supply-chain cost pressures already squeezing forward order books across industrials and consumer sectors; this scenario keeps core CPI sticky at ~2.8%+ and forces the Fed into a higher-for-longer stance that materially reduces the probability of the 50bp rate cut cycle J.P. Morgan's base case anticipated for 2026.

SECTION 9 - Portfolio Allocation (5-8 Year Horizon)

With the VIX at 22.22 (AMBER/rising), the 10-year yield at 4.55% (AMBER), and a binary FOMC outcome imminent, a pre-retiree with a 5-8 year horizon should pursue a growth-tilted but increasingly capital-preserving structure — capturing the AI/semiconductor structural growth story via diversified quality equity exposure while building a meaningful fixed-income and cash buffer to manage sequence-of-returns risk; J.P. Morgan's 2026 Long-Term Capital Market Assumptions project 6.4% for a 60/40 global stock-bond portfolio, rising to 6.9% with a 30% alternatives sleeve, validating a multi-asset approach for this stage.

Bucket	Allocation %	Purpose
US Large-Cap Quality Growth Equities (NDX/ S&P Core)	32%	Core growth engine: diversified exposure to AI infrastructure, semiconductors and platform tech via QQQ/SPY ETFs plus selective individual names (AMD, ANET, GFS, C); targets long-term capital appreciation above inflation with broad index diversification reducing single-stock risk — reduce from a typical 40% given elevated VIX and FOMC uncertainty
International Developed Market Equities	12%	Diversification and USD-hedge: MSCI EAFE exposure provides protection if US dollar weakens further (J.P. Morgan sees dollar weakness risk skewed to the downside in 2026) and captures valuation discount vs US equities; includes Japan (BoJ hiking cycle), Europe (ECB easing), and Asia-Pacific ex-China growth — particularly relevant for Singapore-based investors with natural regional familiarity
US Investment-Grade & Short-Duration Bonds	22%	Capital preservation and income: 4.55% 10-year Treasury yield makes short-to-intermediate duration bonds genuinely attractive for the first time in years — focus on 2-5 year maturities (AGG, SHY) to avoid long-duration rate risk if Warsh turns hawkish; provides ballast against equity drawdowns and generates ~4.0-4.5% yield without meaningful credit risk
Dividend & Low-Volatility Equities / REITs	14%	Defensive income layer: blue-chip dividend payers (Citigroup at 52-week high breakout, plus utilities, healthcare) and select REITs provide income, inflation protection and lower correlation to growth tech; beta typically 0.6-1.0 helps smooth portfolio volatility — an Iran deal would additionally benefit this bucket via lower energy costs improving margins across industrials and consumer staples

Cash & Short-Term Treasuries / Money Market	10%	Dry powder and sequence-risk buffer: maintaining 1-2 years of projected retirement spending needs in near-zero-duration cash equivalents (T-bills currently yielding ~3.5-4%) protects against having to sell growth assets during a market downturn; specifically elevated to 10% (vs typical 5%) given FOMC binary risk, VIX at 22.22, and the near-term event density (Iran deal, FOMC, MU earnings) creating near-term entry opportunities if markets sell off
Alternative Assets (Managed Futures / Multi-Strategy)	7%	Uncorrelated return and inflation hedge: managed futures and multi-strategy alternatives historically perform during periods of elevated inflation and rising rates — exactly the risk scenario flagged by the AMBER VIX and 10Y yield signals; a 7% allocation follows J.P. Morgan's finding that adding a 30% alternatives sleeve raises projected portfolio returns from 6.4% to 6.9% for a 60/40 base (scaled proportionally here)
Thematic / High-Conviction Single-Stock Growth (Satellite)	3%	Asymmetric upside from highest-conviction ideas: a small, disciplined satellite sleeve for concentrated positions in highest-conviction names (INTC turnaround at +492% 1-year, AMD structural AI share gains, GFS CHIPS Act beneficiary); capped at 3% total to prevent over-concentration — any single position no more than 1.5% of portfolio, with strict stop-losses at -20% from entry price given the high-beta profile of these names

Rebalance Trigger: Rebalance immediately if: (1) VIX closes above 30 for 3 consecutive sessions — indicating systemic stress requiring defensive rotation of 5% from equities to bonds/cash; (2) The 10-year Treasury yield rises above 5.0% — signalling a genuine higher-for-longer regime shift requiring US equity allocation reduction from 32% to 25% and bond duration shortening; (3) The S&P 500 (SPY) falls more than 10% from its 52-week high of \$759.57 (i.e. drops below \$683) — the formal correction threshold that historically offers the best entry points for quality names; or (4) Iran peace deal confirmed signed — triggering reallocation of 3% from cash back into growth equities given the inflation and rate relief implications, specifically adding to C and GFS as primary Iran-deal beneficiaries.